

GENSOL

TOWARDS INSOLVENCY?

Once hailed as a green-energy pioneer, Gensol Engineering is now under Sebi's scanner for alleged financial misconduct. What does the future of the company and its EV ride hailing app, Blusmart, look like?

BY PALAK AGARWAL

► **ON A REGULAR** April morning, an official from the National Stock Exchange showed up at what should have been a busy manufacturing facility for Gensol Engineering Ltd, in Pune's industrial Chakan district. But the scene was eerily quiet, devoid of the clatter of assembly lines and the hum of machinery. There was no indication of any continuous production, and only two or three workers milled about. There was obviously a problem.

The official asked for the plant's electricity records out of growing suspicion, only to discover that the maximum amount billed in the previous year was just ₹1.57 lakh, significantly low for a facility that was supposed to be operating at full capacity. This was only the beginning, culminating in the Securities and Exchange Board of India (Sebi) barring the founders of Gensol Engineering, Anmol and Puneet Jaggi, from holding key roles in listed companies.

Gensol's electric vehicle (EV) arm, BluSmart, suspended its operations in some cities such as Delhi NCR, Mumbai, and Bengaluru. It has been reported that BluSmart may exit its core business and function as a fleet partner for its rival Uber.

Sebi's charges against the co-founders include alleged diversion of funds for personal use like buying a luxury apartment, a premium golf kit, and

cross-funding of other unrelated ventures, all reportedly financed through company accounts.

Apart from Sebi, the Enforcement Directorate (ED) and the Ministry of Corporate Affairs are also investigating the company. The ED attached shares in Gensol held by a shareholder allegedly involved in the Mahadev online betting app case. "Even the best ideas crumble when driven by greed," remarked a senior market expert on condition of anonymity. "Trust, once earned, is a rare asset. Gensol traded it away—and with that, its future," a sector expert who did not

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